If there were such a thing as the Laws of Investing, they would have been written by Graham, Buffett, and Munger. A small team size (ideally one) would be one of these laws. Why is an investment team size of one so critical?

Let's take the example of Buffett putting 40 percent of the Buffett Partnership's $17 million in assets into American Express (AmEx) in 1963 (see Chapter 10—"Few Bets, Big Bets, Infrequent Bets"). As Charlie Munger says, "Invert, Always Invert." Let's assume that there is an investment fund with $1 billion in assets and 10 investment professionals. Each of these individuals has an outstanding investing record and a 150 + IQ, and their modus operandi is that an investment only gets made when all 10 are in agreement. There is simply no way our 150 + IQ team of 10 would all (1) agree that AmEx was a strong buy; or (2) ever be willing to bet 40 percent of fund assets on this deeply distressed business—even if, by some miracle, they reached consensus to make the investment.

Finally, even if this team did agree to put 5 percent of assets into AmEx, what would they do if the price declined another 30 percent? This is not a hypothetical question. In 1973, when Buffett bought a large stake in the *Washington Post*, he saw the price cut in half *after* he had acquired most of his stake. More recently, Berkshire saw the price of USG stock go from $18 to less than $4 (a 75+ percent drop) *after* they had acquired their stake. It later rose to over $120.

As you reduce the size of this 10-person team, the likelihood of making these bets rises. As the odds rise, the annualized returns are likely to rise as well. These returns are likely at their highest when you have a single, focused, value investor at the helm.

Value investing is fundamentally contrarian in nature. The best opportunities lie in investing in businesses that have been hit hard by negativity. Even the pundits of the efficient market theory, Eugene Fama and Ken French, concluded that stocks in the lowest decile of price/book ratios outperformed stocks in the highest decile by over 11 percent a year from 1963 to 1990. If you had invested $10,000 consistently in stocks with the highest price/book ratios (the Googles of the world) in 1963, it would have grown to about $72,000 by 1990. Not bad. However, if you had